



REPRESENT LABS INC.

Investment Milestone Proposal

\$1,000,000 Milestone-Based Investment

**\$50,000 ACTIVATION AT SIGNING – EVERY
ADDITIONAL DOLLAR GATED BY VERIFIED USER
PROOF**

Prepared for Phil and Investment Partners

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JUNE 2026 · CONFIDENTIAL

THE ASK

\$50,000 *to start.*

Initial Activation Investment: \$50,000 for 1% equity, released at signing.

Up to **an additional \$950,000** available through milestone-based financing, released only after agreed user, product, retention, and revenue benchmarks are met.

AT SIGNING	MILESTONE 1	MILESTONE 2	MILESTONE 3	MILESTONE 4	MILESTONE 5
\$50K	\$50K	\$150K	\$200K	\$250K	\$300K

You fund proof, not promises. The first **\$50,000** is the only capital committed before 200 registered users – including at least 100 verified users – exist, and no stage after it releases until the prior stage's target is independently verified.

WHY NOW

Alberta has set the date.

- Alberta has a fixed **October 19, 2026** referendum timeline.
- Recent citizen-led activity has shown real demand for civic participation.
- Legacy petition systems can be slow, challengeable, and vulnerable to delay.
- Represent can test verified civic participation in a real market under real urgency.
- The milestone structure lets investors fund proof, not speculation.

The referendum creates urgency. The verified civic network creates the company.

October 19 creates the first concentrated test of demand; the verified civic network is the long-term asset.

WHAT'S ALREADY BUILT

The product is live today.

- **iOS app — approved and live on the App Store**, with identity verification, location-gated voting, citizens-only ballots, discussion, and subscriptions
- **Browser voting — live**. Anyone can verify and vote from a shared link, with no app install
- **The Shadow Referendum — running now**. All 10 official referendum questions, verbatim
- **Identity verification — operational**. Government ID plus a liveness check through a certified provider; documents are never stored on our servers
- **Organization tools — built**. Private, verified voting for unions, associations, and municipalities
- **Total running cost: \$125/month**. The two founders build and operate everything — no staff, no office, no agencies

This is not a plan to build a product. It is a plan to put proven infrastructure in front of a once-in-a-decade civic moment.

ACTIVATION + FIVE MILESTONES · EIGHTEEN MONTHS

Milestone Summary

#	MILESTONE · WINDOW	WHAT IT PROVES	FUNDING
—	Activation — foundation & launch AT SIGNING (JUL)	<i>Foundation + campaign engine, before August</i>	\$50,000
1	Prove — first verified Albertans MONTH 1 (AUG)	<i>People sign up; the engine scales on proof</i>	\$50,000
2	Alberta Verified — the Referendum Sprint MONTHS 2-4 (SEP → OCT 18)	<i>Albertans will verify identity at scale</i>	\$150,000
3	The Results Moment & Retention MONTHS 4-7 (OCT 19 → JAN)	<i>The platform survives its event; users stay & engage</i>	\$200,000
4	Provincial Density & Expansion MONTHS 7-12 (FEB → JUN 2027)	<i>Alberta-wide reach + first organization adoption</i>	\$250,000
5	Scale & Revenue MONTHS 12-18 (JUL → DEC 2027)	<i>The market exists and will pay</i>	\$300,000

CUMULATIVE VERIFIED-USER TARGETS

200 registered / 100+ verified gate → 1,000 verified (M1) → 3,500 (M2, by Oct 18) → 10,000 (M3) → 25,000 (M4) → **50,000** (M5)

MILESTONE ACCELERATION

If a milestone's benchmarks are met materially ahead of its window (30+ days early), the subsequent tranche releases on demonstration of the benchmarks, without waiting for the calendar.

ACTIVATION · AT SIGNING

\$50,000
1% EQUITY

Activation

BENCHMARK REQUIRED TO UNLOCK MILESTONE 1

200 registered users — including at least 100 verified users, with verification-funnel data documented and reviewed by both parties.

WHAT THIS PROVES

The team can launch the company and acquire the first real Albertans.

USE OF FUNDS

Legal, compliance & investor readiness	Incorporation, shareholder agreement, advertising compliance
Product & verification readiness	Onboarding polish, verification copy, funnel tracking
User acquisition & campaign distribution	First paid acquisition tests, creative production, founder outreach
Operations & founder execution	Launch coordination, partner meetings, administrative overhead

MILESTONE 1 · PROVE

\$50,000
1% EQUITY

Milestone 1

BENCHMARK REQUIRED TO UNLOCK MILESTONE 2

1,000 verified users · cost per verified user documented by channel.

WHAT THIS PROVES

The engine scales on real data — channels work, conversion can be measured, the public can see verified turnout.

USE OF FUNDS

User acquisition & campaign distribution	Scaled paid + organic in best-performing channels
Public trust & reporting	First public verified-turnout report
Product & verification readiness	Funnel + analytics infrastructure
Operations & founder execution	Continuing month-one execution

MILESTONE 2 · ALBERTA VERIFIED — THE REFERENDUM SPRINT

\$150,000
3% EQUITY

Milestone 2

BENCHMARK REQUIRED TO UNLOCK MILESTONE 3

3,500 verified users by Oct 18 (floor 2,500) · verification completion above 50% · 5 partner-led votes running · 3+ Alberta media stories.

WHAT THIS PROVES

Albertans will complete identity verification at scale, on a deadline, with public consequences.

USE OF FUNDS

User acquisition & campaign distribution	Paid acquisition, creators, town halls, road campaign, QR
Public trust & reporting	Weekly tally, PR & op-ed placement
Operations & founder execution	Campaign coordinator, partner outreach, on-the-ground field operations
Product & verification readiness	Verification at scale, reliability under load

MILESTONE 3 · THE RESULTS MOMENT & RETENTION

\$200,000
4% EQUITY

Milestone 3

BENCHMARK REQUIRED TO UNLOCK MILESTONE 4

10,000 verified users (floor 7,500) · 30-day retention above 25% · results-comparison report published · 2+ organization pilots started.

WHAT THIS PROVES

The platform survives its activation event and converts retention into a permanent civic asset.

USE OF FUNDS

Public trust & reporting	Referendum Results Night, comparison report, Alberta Verified Dashboard
User acquisition & campaign distribution	Retention + sustained acquisition
Product & verification readiness	Dashboard build, retention features
Operations & founder execution	Field organizers, partner support

MILESTONE 4 · PROVINCIAL DENSITY & EXPANSION

\$250,000
5% EQUITY

Milestone 4

BENCHMARK REQUIRED TO UNLOCK MILESTONE 5

25,000 verified users · Android live on Google Play · at least one organization or municipal pilot underway (paid or unpaid).

WHAT THIS PROVES

Provincial density and early organization adoption.

USE OF FUNDS

User acquisition & campaign distribution	Provincial road campaign, town halls, sustained paid
Product & verification readiness	Android readiness, scaling, dashboard upgrades
Public trust & reporting	Alberta case-study production
Operations & founder execution	Regional ops, organization-pilot enablement

MILESTONE 5 · SCALE & REVENUE

\$300,000
6% EQUITY

Milestone 5

FINAL-STAGE BENCHMARK — FULL 20% ONLY ISSUED WHEN THIS STAGE FUNDS

50,000 verified users · first paid contract (government or organization) · **\$10,000+ monthly recurring revenue** · Seed-ready data room.

WHAT THIS PROVES

Verified civic participation becomes recurring revenue.

USE OF FUNDS

User acquisition & campaign distribution

Sustained province-wide acquisition

Operations & founder execution

First marketing/community hire, scaled execution

Legal, compliance & investor readiness

Seed round preparation, data room

Product & verification readiness

Security, scaling, dashboard scaling

HOW THE BUSINESS WORKS

The economics.

ACQUIRING VERIFIED USERS

We model a blended cost of **\$10–15 per verified user**. Paid acquisition runs \$20–25; the referendum’s organic reach, partner-led votes, creator distribution, and a no-install browser flow pull the blend well below that. The October 19 referendum is the unpaid acquisition engine – paid spend supplements it, it does not carry it.

HOW THE \$1,000,000 REACHES 50,000 VERIFIED USERS

User acquisition & campaign distribution	~\$600,000
Founder execution & operations	~\$270,000
Product, legal & investor readiness	~\$130,000

HOW REPRESENT EARNS

- **Organizations** – unions, associations, and municipalities pay for verified-member voting (\$5K–\$50K annual contracts). The near-term revenue engine.
- **Government & institutional** – verified public-consultation tooling, sold as contracts.
- **Consumer premium** – power features (analytics, monitoring) at \$5/mo for engaged users.

Milestone 5’s **\$10,000+ MRR** target is the proof that at least one of these lines converts at scale.

RISKS & DEFENSIBILITY

What could go wrong — and why we win anyway.

RISKS & MITIGATIONS

Referendum delayed or cancelled

The platform is not referendum-dependent. The verified network and the organization/government revenue paths continue; targets shift to the same benchmarks on a later timeline.

Verification conversion below model

User benchmarks carry a floor and one 30-day extension. The no-install browser flow already removes the largest drop-off, and the paid/organic mix re-weights to whatever converts.

Regulatory & advertising compliance

Elections Alberta third-party advertising rules are assessed and cleared before any paid referendum advertising. The platform is explicitly independent and non-binding.

Single-channel dependency

App, browser flow, and organization tools are already shipped — the company is not betting on one channel or one feature.

WHY REPRESENT WINS

- **Verification is the moat.** Every user is a real, ID-checked human. Competitors built on email sign-ups cannot match the credibility — or fake the count.
- **First mover on verified civic** at a real, dated, high-salience event.
- **Network effects.** The verified-citizen graph compounds — the next vote happens where the verified voters already are.

Equity Terms

\$5,000,000

PRE-MONEY

\$6,000,000

POST-MONEY

20%

FULLY-FUNDED

The investment of \$1,000,000 is offered at a **\$5,000,000 pre-money valuation (\$6,000,000 post-money) for 20% fully-funded.**

The \$5,000,000 pre-money reflects a live, App Store-approved product – verification, browser voting, and organization tools already shipped – a once-in-a-decade acquisition catalyst in the October 19 referendum, and a revenue path through organizations and government beyond consumer subscriptions. It is set to leave clear headroom for a step-up at the Seed round.

Proposed structure – equity released pro-rata with capital: rather than transferring the full 20% on signing, shares are issued as each milestone funds (1% at signing, then 1%, 3%, 4%, 5%, and 6% across Milestones 1–5 – totalling 20% at full funding). This protects both sides: the investor never holds equity beyond capital actually invested, and the company never sells a fifth of itself against funds that benchmarks may not unlock. Alternative implementations with identical economics (milestone-priced share issuances, or warrants vesting per milestone) are acceptable; **Final structure and documentation should be prepared by legal counsel in the form both parties agree is most appropriate.**

If the investor requires the full 20% on signing, the company requests a reciprocal commitment: milestones become obligations subject only to benchmark achievement (not discretionary), with an agreed remedy (equity clawback or buy-back at cost) for any milestone not funded after benchmarks are met.

THE GOAL

Toward the Seed Round.

The 18-month milestone plan is engineered to produce a **Seed-ready company by late 2027**. The benchmarks across Milestones 4 and 5 – verified users, retention, first paid contract, monthly recurring revenue, and a Seed-ready data room – are precisely the traction signals investors price at the next round.

This is how investor capital becomes investor return: not through dividends or interest, but through stake appreciation at the Seed round valuation step-up.

CONSERVATIVE ILLUSTRATIVE SCENARIOS

SEED ROUND SCENARIO	POST-MONEY	INVESTOR STAKE (POST-DILUTION)	RETURN ON \$1M
Base	\$20M	16% = \$3.2M	3.2×
Upside	\$40M	16% = \$6.4M	6.4×

Scenarios are illustrative and intentionally conservative. They assume a representative ~20% dilution at the Seed round. Actual valuation depends on traction, market conditions, and competitive dynamics at the time of raise.



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Lance Morrison, Founder & CEO